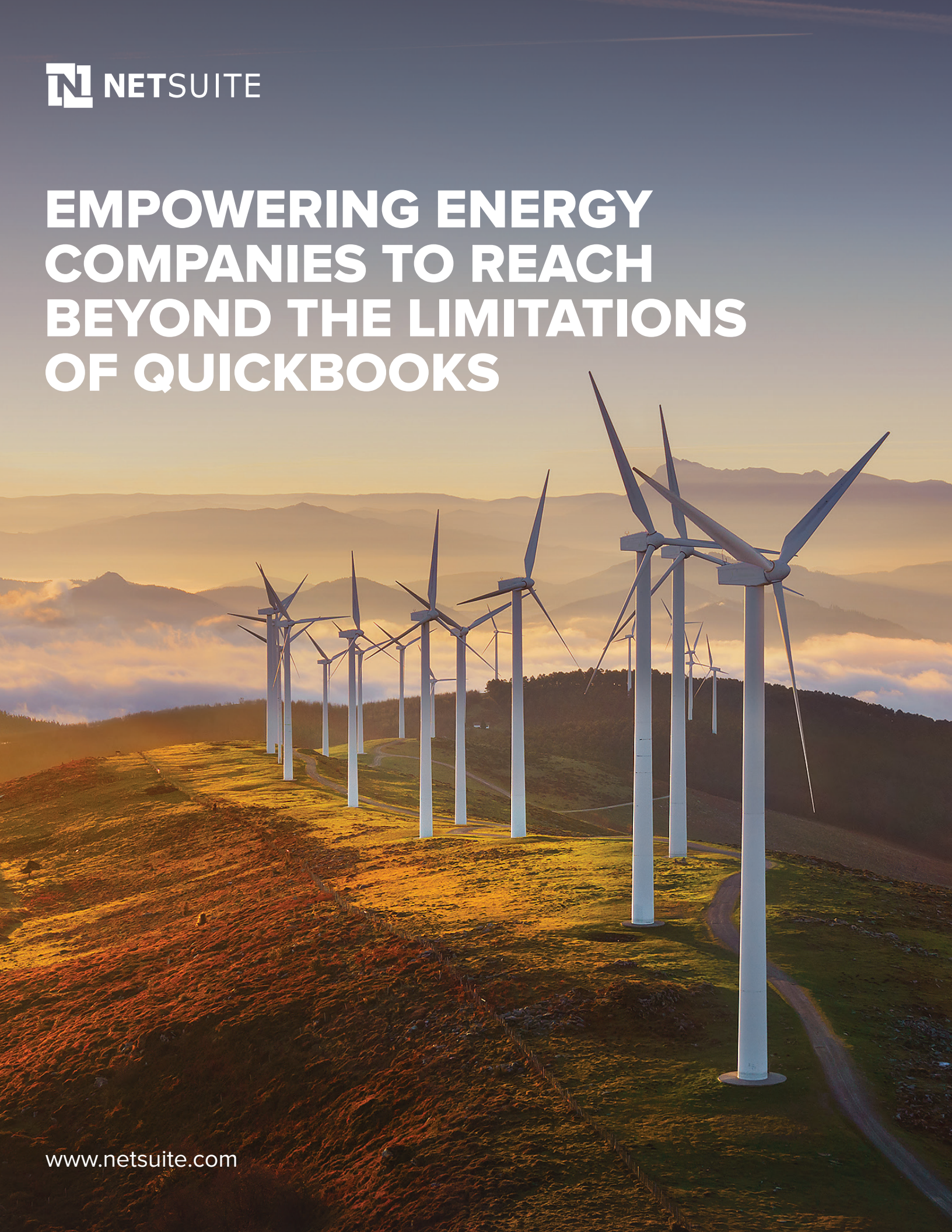
NETSUITE

EMPOWERING ENERGY COMPANIES TO REACH BEYOND THE LIMITATIONS OF QUICKBOOKS



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SEE WHY ENERGY COMPANIES SWITCH FROM QUICKBOOKS TO CLOUD FINANCIALS

The energy industry is undergoing rapid change on multiple fronts. Changing consumer expectations, regulatory requirements and capital expenditure needs are compelling energy companies to modernize existing infrastructure, invest in alternative or renewable energy sources and seek new revenue streams to grow their business. Though they recognize this need to innovate, energy companies have a remarkably difficult time finding business application solutions that can meet their needs in an affordable manner.

Very often, energy companies have been forced to rely upon a hairball of dangerously unreliable spreadsheets that support aging accounting systems. Many are constrained by solutions that were built for a different time, where the accounting system of record was all that mattered and where systems had limited computing capability. The relatively low cost of maintaining those systems masks the cost of inefficiencies in routine tasks like the monthly close or, more importantly, the dissemination of reliable information upon which business decisions can be confidently made in a fast-paced environment.

None of that mattered when business was relatively simple or where business was being conducted in stable market conditions. But the emergence of the Internet as a platform upon which to build entirely new business models and the displacement of the PC and laptop by mobile devices as the computing platform of choice by the next generation of business users has changed the status quo. Today, energy companies must consider the potential impact of both

"Our business model has changed significantly from wind turbine to solar development and NetSuite's high customizability and versatility has allowed us to keep up with those changes."

MATEO CHASKEL,
Director of Operations,
Urban Green Energy

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existential threats and opportunities as the starting point for rethinking their technology investments.

Fast-growing energy companies are especially challenged because the opportunities afforded by a combination of globalization and the rise of the internet have not been matched by the development of their in-house systems. Thus, these companies are faced with the difficult questions that come with growth. For example:

- How do energy companies take advantage of modern technologies without overloading the organization with cost and complexity?
- Can modern systems free up information producers to become decision advisors to the wider business?
- Who can energy companies trust to provide a platform for growth that extends well beyond the back office?

NetSuite believes companies in the energy industry should look to solutions that are developed for cloud as the starting point in making any decision. There are sound reasons for doing so.

A cloud-based vendor doesn't just offer software. It is offering a service. That is crucially important to understand because it means that NetSuite takes responsibility for not only the software it supplies, but the underlying technical infrastructure needed to access the solution. That includes the server hardware and database maintenance and administration, document storage, technical upgrades and the ongoing enhancements customers need. That is an entirely different way of providing a system than what has been traditionally offered where, for all practical purposes, it is the customer's responsibility to upkeep their systems on an infrastructure they must also maintain.

A vendor offering Software-as-a-Service is on the hook for all aspects of that service, which in turn means the vendor must continuously earn the trust of its buyers, backed by meaningful service level agreements. It doesn't serve a modern cloud provider's interests to do anything other than assure customer success. That is a win-win in anyone's book, but again, fundamentally different than the old way of acquiring and using software.

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SUITE APPROACH

NetSuite believes in the power of an integrated suite of functionality that spans the whole of the business, linking both the back and front offices together. A suite approach allows the whole company to view operations as a single version of the truth. It can allow, for example, field sales personnel access to their customer records so that they don't go selling more to delinquent customers. That 'single suite, single view' also allows those same field sales people to spot opportunities for upselling in real-time. Furthermore, predefined roles and dashboards that are oriented around a user's day-to-day tasks allow for the most efficient consumption of information throughout the entire organization.

A well implemented cloud-based system should mean that financial activities appear as soon as they are triggered. That, coupled with 'anywhere-anytime' access means that decision makers can quickly act upon both adverse and favorable performance indicators. In that sense, decision making becomes an activity where those tasked with executing on the company's goals and strategy are able to do so with information that is akin to looking through the front windshield of a car, rather than constantly worrying about what is in the rear view mirror.

The combination of these demonstrable benefits means that a well-executed move to cloud results in a much better and predictable cost of operation than is possible with on-premise systems.

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These and many other benefits separate the world of the old from the new, but customers need to rely upon solid references from other energy companies that have already taken the journey to cloud-based computing. There is an increasing number of these companies who have migrated from QuickBooks and shown demonstrable benefits as a result.

For example, as New York-based renewable energy company Urban Green Energy experienced rapid global growth, it realized that QuickBooks and Excel were hindering coordination and communication between departments. Realizing the need for more transparency and integration, UGE looked to NetSuite for an end-to-end solution.

Since swapping out QuickBooks for NetSuite, UGE has gained greater visibility into its business through clear audit logs within a single source of truth. Moreover, NetSuite's seamless integration between front and back offices processes has saved the company valuable time, money and personnel.

It's examples like this that make the case for the energy industry to move beyond the limitations imposed by the likes of QuickBooks and to reach out to meet their true potential in the cloud.

CUSTOMER SUCCESS

- NetSuite has helped UGE double its revenue from 2014 to 2015.
- The company has the ability to handle manufacturing processes and recurring billing in one system with NetSuite.
- Lead-to-cash has been automated from sales orders to realized revenue.
- Five subsidiaries around the world now roll up to one system with OneWorld.
- Clear audit logs in NetSuite now provide a single source of the truth.

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